



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

12th Floor, Edinburgh Tower, The Landmark, 15 Queen's Road Central, Hong Kong

香港中環皇后大道中十五號置地廣場公爵大廈十二樓

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**Circular to All SFC's Registered Securities Dealers
and Securities Margin Financiers**

Financial Resources (Amendment) Rules 2002

The SFC issued a circular dated 13 June 2002 to all registered securities dealers and securities margin financiers drawing their attention to the two new Financial Resources Rules requirements, i.e. illiquid collateral haircut and gearing adjustment which will come into effect on **1 October 2002**.

The SFC wish to remind all registered securities margin financiers and securities dealers providing securities margin financing again that they should establish by now necessary information technology and access to market data for the purposes of the calculations required under the above new requirements.

All registered securities dealer and securities margin financier are welcome to visit our website at <http://www.hksfc.org.hk> to review a briefing summary on the Financial Resources (Amendment) Rules 2002 and an illustration example.

Please note that the two new requirements are interim measures to address the identified risks in the securities margin financing business. In the event that a registered intermediary faces genuine difficulties in complying with the new requirements when they come into effect, the SFC will consider granting modification of the new requirements where appropriate provided that the interest of the investing public is not compromised.

The monthly FRR return form has been revised to incorporate the amendments required under section 4 of the Financial Resources (Amendment) Rules 2002. Registered dealers and securities margin financiers should continue to use the current return forms for accounting period up to 30 September 2002. The revised form shall be used for accounting period starting from 1 October 2002.

The revised form is available for collection at SFC office and available for download from the SFC website and FinNet.

If you have any further questions regarding the new requirements, please contact your case officer in the Intermediaries Supervision Department.

Intermediaries and Investment Products
Securities and Futures Commission



Financial Resources (Amendment) Rules 2002

The amendment will come into operation on
1 October 2002

- Illiquid collateral haircut
- Gearing adjustment

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Illiquid collateral haircut (section 13(4) of FRR)

the margin shortfall amount, calculated as the amount by which the amount receivable exceeds the aggregate of –

- (i) the market value of collateral, other than illiquid collateral, provided by the client, less the applicable haircut amount and multiplied by the applicable concentration discounting factor*;
- (ia) the market value of all illiquid collateral provided by the client, multiplied by 20%;
- (ii) the amount of cash deposited as security by the client; and
- (iii) in the case of a dealer, the maximum amount that can be drawn by him under a bank guarantee which is provided by the client to him and which is issued by an authorized institution or an approved bank formed or established outside Hong Kong.

- * It will be acceptable to exclude illiquid collateral from related stock for CDF calculation

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Illiquid collateral

Any listed or traded share or warrant which is identified as the top 3 collateral where the aggregate market value of shares or warrants comprising the collateral is equal to or greater than –

- (a) the average monthly turnover of that share or warrant; or
- (b) in the case of a share, 5% of the total market capitalization of that share as at the end of the month immediately preceding the month prior to the month in which the calculation is made; or
- (c) in the case of a warrant, 5% of the warrant issue as at the end of the month immediately preceding the month prior to the month in which the calculation is made,

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Illiquid collateral (cont'd)

but does not include –

- (i) any listed or traded share or warrant which has been listed or traded for less than 6 consecutive months (including any period during which the share or warrant is suspended from trading) immediately preceding the month prior to the month in which the calculation is made;
- (ii) any listed share which is a constituent stock of any of the following indices –
 - (A) Hang Seng Index;
 - (B) Hang Seng Hong Kong LargeCap Index;
 - (C) Hang Seng Hong Kong MidCap Index;
 - (D) FTSE-100 Index;
 - (E) Nikkei 225 Index; or
 - (F) Standard & Poor's 500 Index.

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Top 3 collateral

Any collateral (listed or traded shares or warrants) which is identified as being the 3 highest in terms of market value given by each of the 20 margin clients with the largest outstanding margin loan balances with the dealer or securities margin financier.

«All collaterals reported in Table 1 of Form 3 of the FRR Returns »

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Average monthly turnover

1/6 of the aggregate value of transactions in the listed or traded share or warrant for a period of 6 consecutive months (including any period during which the share or warrant is suspended from trading) immediately preceding the month prior to the month in which the calculation is made;

<i>Computation month:</i>	<i>October 2002</i>
<i>The month prior to the computation month:</i>	<i>September 2002</i>
<i>6 consecutive months:</i>	<i>March to August 2002</i>

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Example Illustration – Illiquid Collateral Haircut

Form 3 Margin Client Analysis

Table 1 By Unadjusted Loan Balance
As of Reporting Date 31 October 2002

Top 20 margin clients with the largest loan balance as of reporting date

Name of client	Ranking	A/C Loan Balance HK\$'000	Collateral MV HK\$'000	Top 3 collateral stock								
				Stock 1			Stock 2			Stock 3		
				Name	Stock code	MV HK\$'000	Name	Stock code	MV HK\$'000	Name	Stock code	MV HK\$'000
Client A	1	6,577	9,707	ABC	xxx	6,284	JKL	bbb	3,000	GHI	zzz	300
Client B	2	5,467	5,964	ABC	xxx	5,190	DEF	yyy	294	GHI	zzz	24
Client C	3	5,381	9,708	JKL	bbb	5,000	ABC	xxx	3,719	HSI - A	sas	200
Client D	4	4,703	7,327	JKL	bbb	3,000	ABC	xxx	2,360	HSI - A	sas	1,844
Client E	5	4,368	8,072	ABC	xxx	4,474	DEF	yyy	2,848	SHKLCI - B	tye	294
Client F	6	4,105	9,950	ABC	xxx	5,188	JKL	bbb	3,000	SHKLCI - A	kod	973
Client G	7	3,995	8,455	JKL	bbb	4,000	ABC	xxx	3,832	HSI - B	aju	500
Client H	8	3,911	4,520	ABC	xxx	3,264	GHI	zzz	500	HSI - C	ihv	300
Client I	9	3,874	5,626	ABC	xxx	2,584	DEF	yyy	1,853	HSI - A	sas	400
Client J	10	3,755	4,960	HSI - B	aju	3,200	SHKLCI - B	tye	932	SHKMCI - A	kgs	705
Client K	11	3,563	7,476	JKL	bbb	3,500	ABC	xxx	2,887	HSI - A	sas	300
Client L	12	3,447	4,686	HSI - C	ihv	1,889	SHKMCI - B	laa	1,584	SHKMCI - A	kgs	250
Client M	13	3,345	5,163	ABC	xxx	2,456	DEF	yyy	1,042	MNO	mno	924
Client N	14	2,959	3,295	SHKLCI - A	kod	1,534	SHKMCI - A	kgs	564	MNO	mno	345
Client O	15	2,612	4,385	DEF	yyy	1,625	MNO	mno	1,254	PQR	pqr	543
Client P	16	2,169	3,348	PQR	pqr	1,397	SHKMCI - A	kgs	845	SHKLCI - A	kod	353
Client Q	17	1,918	2,868	GHI	zzz	982	JKL	bbb	547	ABC	xxx	388
Client R	18	1,877	2,549	SHKLCI - A	kod	950	SHKMCI - B	laa	821	PQR	pqr	322
Client S	19	1,692	2,831	SHKMCI - A	kgs	954	SHKMCI - B	laa	788	MNO	mno	138
Client T	20	1,486	1,847	GHI	zzz	826	MNO	mno	636	JKL	bbb	238
Sub-total		71,204	112,737									
Others		3,029	150,243									
Total		74,233	262,980									

Example Illustration – Illiquid Collateral Haircut

Ref	Stock Code	Stock Name	MV @31/10/02 HK\$'000	Mkt Capitalization @31/8/02 HK\$'000	5% of Mkt Capitalization	Average Monthly Turnover	Subject to 80% Haircut		Illiquid Collateral under FRR
							> 5% of Mkt Capitalization	>Average Monthly Turnover	
			(A)	(B)	(C)=(B)x5%	(D) see below	if (A) > (C)	if (A) > (D)	
1	xxx	ABC	48,626	914,999	45,750	265,799	Yes	No	Yes
2	bbb	JKL	39,285	754,320	37,716	236,724	Yes	No	Yes
3	yyy	DEF	8,668	134,340	6,717	6,377	Yes	Yes	Yes
4	zzz	GHI	3,032	124,868	6,243	2,935	No	Yes	Yes
5	mno	MNO	3,588	114,560	5,728	4,202	No	No	No

Remark : (a) Benchmark calculation as shown in columns (C) and (D) can be applied for any reporting date in October 2002
 (b) HSI - A, HSI - B & HSI - C are constituent stock of Hang Seng Index therefore need not subject to illiquid collateral adjustment
 (c) HSHKLCI - A & HSHKLCI - B are constituent stock of Hang Seng Hong Kong LargeCap Index therefore need not subject to illiquid collateral adjustment
 (d) HSHKMCI - A & HSHKMCI - B are constituent stock of Hang Seng Hong Kong MidCap Index therefore need not subject to illiquid collateral adjustment
 (e) PQR is not subject to illiquid collateral adjustment because PQR has been listed on SEHK since 4 March 2002 (i.e. listing less than 6 consecutive months)

Average Monthly Turnover (market value)

	ABC	JKL	DEF	GHI	MNO
Month	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Mar-02	286,800	236,400	7,715	2,561	3,838
Apr-02	275,625	254,340	6,520	2,726	4,086
May-02	245,684	213,470	7,012	2,626	4,258
Jun-02	291,231	267,452	5,422	2,785	4,588
Jul-02	242,122	214,480	5,566	3,421	4,269
Aug-02	253,333	234,200	6,029	3,488	4,174
Total	1,594,795	1,420,342	38,264	17,607	25,213
Average	265,799	236,724	6,377	2,935	4,202



Gearing adjustment (section 21(2) of FRR)

Where a dealer or securities margin financier obtains financial accommodation wholly or partly secured by collateral provided by a margin client, he shall include in his ranking liabilities the amount by which such borrowings exceed 65% of the aggregate amount receivable from his margin clients arising from the provision of securities margin financing.